RESTORING STOLEN WEALTH

WHAT IS RESTITUTION?

- It is a key element in global anti-money-laundering and counter-terrorism financing investigations
- Paris-based Financial Action Task Force (FATF), an intergovernmental watchdog of which India is a member, mandates that member countries establish a non-conviction-based confiscation regime, provided it aligns with their fundamental legal principles

WHEN DOES IT HAPPEN?

- In India, restitution generally took place only after the completion of a trial under the legal framework of the PMLA
- However, recognising the need for restitution before trial completion, specific amendments were introduced in 2015
- The amendments allowed assets to be returned to legitimate claimants once the trial is underway, specifically after a Special Court designated for such cases frames charges

WHAT DOES THE PROCESS INVOLVE?

- The process of restitution begins with the identification, tracking and seizure of the proceeds of crime
- It involves uncovering often-complicated financial crime networks and pinpointing assets belonging to victims. Movable and immovable properties of criminals are then attached
- The next stage is monetising these assets–turning seized property into liquid funds. This requires coordination with various authorities, including courts and banks, to ensure that the assets are sold in a manner that maximises their value
- Once monetised, the proceeds are deposited in banks, and the court is notified to release the funds to the legitimate claimants

MONEY RESTITUTED SO FAR BY THE ED

A total of Rs 27,300 crore in 31 money-laundering probes has been restored so far. Here are the main cases

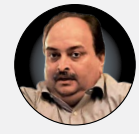
A few of the figures have been rounded off



Vijay Mallya
₹14,132 CR.



Nirav Modi
₹1,053 CR.



Mehul Choksi
₹2,696 CR.



Rose Valley Chit Fund
₹450 CR.



Bhushan Power & Steel
₹4,025 CR.



Agri Gold Ponzi Scam
₹3,339 CR.

crore to the 3.2 million investors who were cheated in the Rs 17,520 crore Rose Valley scam. By March-end, the agency is planning to return Rs 450 crore to 900,000 investors through its restitution programme. In recent months, the ED has made the restitution of seized and attached assets a top priority in its fight against money-laundering and financial fraud. "Over the past several years, the agency's focus has been on a concerted effort to ensure that victims of financial crimes are duly compensated from the proceeds of crime seized by the ED, making significant strides in returning assets to their rightful owners," says a high-ranking ED officer involved in the process.

A CONCERTED EFFORT

The ED has successfully restored more than Rs 27,000 crore to the victims of 31 mammoth scams, including legitimate individuals and banking institutions. The move also aligns with what Prime Minister Narendra Modi told INDIA TODAY in May 2024, "I feel from my heart that these people have looted the poor's money by misusing their positions, and they should get it back." The PM's statement clearly signalled a shift towards ensuring that the benefits of the ED's asset seizures reach those who have been wronged. In December last year, finance minister Nirmala Sitharaman, speaking in Parliament, cited the case of Vijay Mallya, in which the ED made a 100 per cent recovery from assets and returned Rs 14,131.6 crore to a consortium of 15 banks led by the State Bank of India. However, the former UB Group chairman, who owned Kingfisher Airlines, remains a fugitive in London. Other high-profile cases in which the ED has carried out restitution include the Nirav Modi case (Rs 1,052.58 crore), the Mehul Choksi case (Rs 2,695.90 crore), the Bhushan Power & Steel Ltd case (Rs 4,025 crore) and the Agri Gold Ponzi scam (Rs 3,339 crore).

This is happening not just for big fraud cases but also smaller ones, such as that involving Dr. SM CSI Medical College & Hospital in Kerala, where agents defrauded scores of individuals on the pretext of securing a medical seat. Last month, the ED returned Rs 89.75 lakh to six victims who had been defrauded. Rahul Navin, who currently heads the ED, has championed the cause of restitution as a cornerstone of the agency's operations. His efforts mark a significant shift in how restitution is handled under the PMLA (Prevention of Money Laundering Act) framework, which allows for the restoration of assets once it has been determined that the properties in question were acquired through illicit means but ultimately belong to innocent victims (see *Restoring Stolen Wealth*).